

been honestly and well served by their trustees. The Real Estate Equities story is a different and a sorry one.

Pair 2: Air Products and Chemicals (Industrial and Medical Gases, etc.) and Air Reduction Co. (Industrial Gases and Equipment; Chemicals)

Even more than our first pair, these two resemble each other in both name and line of business. The comparison they invite is thus of the conventional type in security analysis, while most of our other pairs are more heteroclit in nature.[†] “Products” is a newer company than “Reduction,” and in 1969 had less than half the other’s volume.^{*} Nonetheless its equity issues sold for 25% more in the aggregate than Air Reduction’s stock. As Table 18-2 shows, the reason can be found both in Air Reduction’s greater profitability and in its stronger growth record. We find here the typical consequences of a better showing of “quality.” Air Products sold at 16½ times its latest earnings against only 9.1 times for Air Reduction. Also Air Products sold well above its asset backing, while Air Reduction could be bought at only 75% of its book value.[†] Air Reduction paid a more liberal dividend; but this may be deemed to reflect the greater desirability for Air Products to retain its earnings. Also, Air Reduction had a more comfortable working-capital position. (On this point we may remark that a profitable company can always put its current position in shape by some form of permanent financing. But by our standards Air Products was somewhat overbonded.)

If the analyst were called on to choose between the two companies he would have no difficulty in concluding that the prospects of Air Products looked more promising than those of Air Reduction. But did this make Air Products more attractive at its considerably higher relative price? We doubt whether this question can be answered in a definitive fashion. In general Wall Street sets “quality” above “quantity” in its thinking, and probably the majority of security analysts would opt for the “better” but dearer Air Products as against the “poorer” but cheaper Air Reduction. Whether this preference is to prove right or wrong is more likely to depend on the unpredictable future than on any demonstrable investment principle. In this instance, Air Reduction appears to belong to the group of important